

The Documents You Will Draft

In Module 1 you learned the deal. Now you'll learn the paperwork that makes it real. Every document in this module exists for a reason — and just as importantly, every document has things it deliberately leaves OUT and people it deliberately doesn't go to. Get this right, and you protect the entire transaction.

QUICK REFERENCE — WHERE DO I FIND THIS?

As you go through this module, you'll start to notice that certain pieces of deal info live in one document *only*. Keep an eye out — by the end of Module 2 you'll be able to instantly answer "if I need to change the monthly payment, which document am I actually editing?" (Hint: it's not the one you'd guess first.)

Section 1: Purchase Agreement (PSA)

The Purchase Agreement is the most "public" document in the entire transaction — there's no one involved who can't see it.

DOCUMENT 1 OF 8

Purchase Agreement

The agreement that transfers ownership from the Seller to the Buyer. You'll draft this **even when the deal is structured as a Cash-Out Refinance** — it's foundational, not optional.

Key Info Captured:

Seller Name

Seller Contact Info

Buyer Name

Buyer Contact Info

Property Address

Purchase Price

EMD

Inspection Period

Close of Escrow

Occupancy Info

Agent Commission & Contact Info

Who Pays Closing Costs

Does NOT Include:

Seller Finance

Preferred Equity

Seller Second

Monthly Payment

Interest Rate

Down Payment

UCC

Inheritance / Heir Info

WHO GETS THIS DOCUMENT

- Seller / Listing Agent
- Buyer
- Consultant / JV Partners
- Title Company
- Closing Attorney (upon request)
- Lender / Appraiser

WHO DOES NOT GET THIS DOCUMENT

- No one — there are no limitations. This is the most widely shared document in the entire transaction.

PRACTICE TEMPLATES — FOLDER 1

Blank Template

Filled-Out Practice Example

CONNECTING BACK TO MODULE 1

Look at that "Does NOT Include" list again. **Every single item on it is a piece of the seller finance leg.** This is exactly how the critical rule from Module 1 gets enforced on paper — by design, the Purchase Agreement (the one document the lender sees) is physically incapable of revealing the second leg of the deal, because none of that information ever gets written into it.

YOUR TURN

A buyer asks you to "just add a quick note about the monthly seller finance payment" to the Purchase Agreement so they don't forget the terms. What do you tell them, and why is this request a red flag?

Section 2: Escrow Holdback

The escrow holdback is the pot of money that makes the Morby Method's flexible assignment fee possible — without it, that structure couldn't exist.

DOCUMENT 2 OF 8

Escrow Holdback Agreement

A portion of the deal's funds that gets deliberately set aside — "held back" — in escrow rather than disbursed at closing. Instead of going out the door immediately, this money sits in escrow to fund specific obligations that come due later in the transaction.

Key Info Captured:

Holdback Amount

What It's Earmarked to Cover

Release Conditions / Timing

Parties Entitled to Draw From It

PRACTICE TEMPLATES — FOLDER 2

Blank Template

Filled-Out Practice Example

KEY TERM

Escrow Holdback — funds intentionally withheld from the initial disbursement and kept in escrow to be released later, once specific conditions are met or specific obligations come due.

TYING IT BACK TO SECTION 4 (ASSIGNMENT)

In the Morby Method, the Assignment Fee doesn't come from a price gap between two contracts — it's paid directly out of this escrow holdback. That's what lets the wholesaler and buyer agree on whatever fee amount makes sense, instead of being constrained by a pre-set price difference.

QUICK CHECK

In your own words — why does the escrow holdback matter so much to the Morby Method specifically? What would happen to the assignment fee structure without it?

Section 3: Seller Security Agreement (SSA)

If the Purchase Agreement is the most public document in the deal, the Seller Security Agreement is the most private — and that's exactly the point.

DOCUMENT 3 OF 8

Seller Security Agreement (SSA)

This is the document where the seller finance leg actually lives on paper — whichever security structure you chose (Pref-Eq or Seller Second from Module 1), this is where its terms get spelled out.

Key Info Captured:

Pref-Eq vs. Seller Second

Principal Balance

Monthly Payment

Payment Start Date

Interest Rate

Balloon Payment Due Date

Balloon Payment Extension

Default / Late Payment Clauses

Does NOT Include:

Anything that belongs in the Purchase Agreement — Seller Name, Property Address, Purchase Price, etc. all live over there, not here.

WHO GETS THIS DOCUMENT

- Seller / Listing Agent
- Buyer
- Consultant / JV Team
- Closing Attorney

WHO DOES NOT GET THIS DOCUMENT

- Title Company
- Lender
- Appraiser

PRACTICE TEMPLATES — FOLDER 3 (TWO VARIANTS)

Preferred Equity (Pref-Eq)

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Filled-Out Practice Example

Seller Second (Carryback Note)

Blank Template

Filled-Out Practice Example

QUICK CHECK

Compare the distribution lists for the Purchase Agreement (Section 1) vs. the Seller Security Agreement. What three parties appear on the SSA's "does NOT get" list that get the PSA freely — and why does that make perfect sense given what each document contains?

SINGLE SIGNOR AUTHORITY — WHAT IT IS AND WHEN YOU NEED IT

When a Buyer entity has multiple members on its operating agreement, getting everyone's signature on the SSA (and every other closing document) can get cumbersome fast. A **Single Signor Agreement** is a one-page authorization that designates one specific member as the sole authorized signer on behalf of the entire entity. When the Buyer is a multi-member LLC, ask about this early — it protects execution, saves time at closing, and avoids a last-minute scramble if one member is unavailable.

YOUR TURN

A Buyer's LLC has four members, and closing is in two days. How would you explain the value of a Single Signor Agreement to them in one or two sentences?

Section 4: Assignment Agreement

The Assignment Agreement is the handoff document — it transfers the wholesaler's role, rights, and responsibilities to the end buyer.

DOCUMENT 4 OF 8

Assignment Agreement

This is how a contract holder (the Assignor) hands the deal off to a new buyer (the Assignee) — and it has to mirror the underlying contract almost exactly.

Key Info Captured:

Property Address

Assignee Purchase Price (matches underlying contract)

EMD (at least matches underlying, or more)

Assignor = Contract Holder

Assignee = New Buyer

Close of Escrow (matches underlying)

Inspection Period (matches underlying)

Buyer MUST be the Credit Sponsor

WHO GETS THIS DOCUMENT

- Everyone **except** the Seller / Listing Agent

WHO DOES NOT GET THIS DOCUMENT

- Seller / Listing Agent

PRACTICE TEMPLATES — FOLDER 4

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Filled-Out Practice Example

The Assignment Fee — Standard Wholesale vs. the Morby Method

This is one of the most commonly mixed-up concepts for new TCs, because the math works completely differently depending on which structure you're in.

Standard Wholesale Assignment

The underlying contract and the assignment contract have **two different purchase prices** — the gap between them is the assignment fee.

Morby Method Assignment

The underlying Purchase Price and the Assignment Purchase Price are **the same number**. The assignment fee doesn't come from a price gap at all — it's drawn from the **escrow holdback** (Section 2), and it can be whatever amount the wholesaler and buyer mutually agree on.

EXAMPLE — SIDE BY SIDE

Standard Wholesale: Underlying PP = \$100,000 → Assignment PP = \$110,000 → Assignment Fee = **\$10,000** (the difference between the two prices)

Morby Method: Underlying PP = \$100,000 → Assignment PP = \$100,000 (same number) → Assignment Fee = **whatever the wholesaler and buyer agree on**, paid out of the escrow holdback

YOUR TURN — CHECK YOUR UNDERSTANDING

The underlying PP = \$100,000. The assignment PP = \$100,000. What's the assignment fee, and where does it come from?

Section 5: Consultant JV Agreement

Remember that whole conversation about how everyone walks away from this closing with a paycheck? The JV Agreement is the document that actually spells out who gets what.

DOCUMENT 5 OF 8

Consultant JV Agreement

A JV Agreement specifies exactly how much *each* party is getting paid on the deal. The only parties who do **not** need a JV agreement to get paid are the Seller and their agent — their payment is already secured by the Purchase Agreement itself.

Common JV Parties:

Wholesalers / Consultants

Acquisition Team

Transaction Coordinator

Credit Sponsor / Personal Guarantee

EMD Lender

PRACTICE TEMPLATES — FOLDER 5

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Filled-Out Practice Example

YOUR TURN

Why do you think the Seller and their agent are the only parties who *don't* need a JV Agreement to guarantee their payday?



Section 6: EMD Loan Agreements

You'd be surprised how many buyers don't actually put up their own earnest money — that's exactly the gap this document fills.

DOCUMENT 6 OF 8

EMD Loan Agreement

When a buyer borrows their EMD instead of funding it themselves, this agreement lays out the terms of that loan — who's lending it, what they get in return, and what happens if the deal falls through before they're repaid.

What It Establishes:

EMD Loan Amount

Buyer's Promise to Reimburse if the Deal Doesn't Close

Promised Return to the Lender if the Deal DOES Close

PRACTICE TEMPLATES — FOLDER 6

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Filled-Out Practice Example

QUICK CHECK

If a deal falls through, what does the EMD Loan Agreement obligate the buyer to do? And what does the EMD lender stand to gain if the deal *does* close?

Section 7: Addendums / Amendments

An addendum doesn't create a new deal — it simply changes something about a deal that already exists.

DOCUMENT 7 OF 8

Addendums & Amendments

Common addendums you'll draft: Extension Addendum, Change Purchase Price, Update the Entity on the Contract, Change Down Payment, Change Monthly Payment, Correct a Spelling Error.

Key Info Captured:

Party Name

Property Address

What's Being Revised

Name of the Document Being Edited

PRACTICE TEMPLATES — FOLDER 7

Blank Template

Filled-Out Practice Example

PAY ATTENTION TO WHAT INFO GOES WHERE

This is the single most important skill in this section: **knowing which underlying document you're actually amending**. For example — if you need to change the monthly payment, you are amending the **Seller Security Agreement**, not the Purchase Agreement. Get this wrong, and you could accidentally write seller-finance details into the one document the lender is allowed to see.

If You Need To Change...	You're Amending...
Purchase Price	_____
Monthly Payment	_____
Down Payment	_____
Close of Escrow date (extension)	_____
Interest Rate	_____
Entity name on the contract	_____

YOUR TURN — FILL IN THE REFERENCE TABLE ABOVE

Using what you've learned about which document holds which info, fill in the blanks — which agreement would you amend for each change listed?

Section 8: Cancellation Agreements / Mutual Release

There are two very different ways a deal can end — and knowing which one you're looking at determines whether the entire transaction dies or just one relationship within it does.

DOCUMENT 8 OF 8

Cancellation Agreement / Mutual Release

This document either (a) cancels the entire deal — if the Seller signs a cancellation, the whole thing is off — or (b) cancels just the end buyer's relationship to the agreement, leaving the rest of the deal intact.

PRACTICE TEMPLATES — FOLDER 8

Blank Template

Filled-Out Practice Example

THE NON-NEGOTIABLE RULE

You **must** have a Mutual Release signed in order to get the EMD returned to the appropriate party. **Period.** There is no workaround for this — no signed release, no returned EMD.

QUICK CHECK

True or False: If the Seller signs a cancellation agreement, only the end buyer's portion of the deal is affected — everything else stays intact. _____

Section 9: Electronic Signing — DocuSign

In today's transactions, the stack of physical papers handed across a conference table has been replaced by a DocuSign link sent from your laptop. Knowing how to set one up correctly is as essential as knowing what goes in the documents themselves.

DocuSign is an electronic signature platform that lets you send documents to multiple signers, set the order in which they sign, track completion in real time, and store a legally binding signed record — all without printing a single page. Most title companies, lenders, and real estate attorneys now accept (and often prefer) DocuSign-executed documents.

Core Vocabulary

KEY TERMS

Envelope — a DocuSign "package" containing one or more documents sent to one or more signers. One envelope = one transaction.

Recipient — anyone who receives the envelope: signers, carbon copy (CC) recipients, or viewers.

Routing Order — the sequence in which signers receive the envelope. Signer 1 gets it first; Signer 2 doesn't receive it until Signer 1 completes.

Fields — the interactive boxes you place on the document: Signature, Initial, Date Signed, Name, free-text.

Completed Envelope — a fully executed document with all signatures collected, timestamped, and assigned a Certificate of Completion by DocuSign for legal audit trail purposes.

Setting Up an Envelope — Step by Step

1 Upload Your Documents

Start a new envelope and upload the document(s) to be signed — e.g., the Purchase Agreement, SSA, and Assignment Agreement as separate files in a single envelope, or one document per envelope depending on your workflow.

2 Add Recipients in Routing Order

Add each signer's name and email, then set their routing order. For a PSA: Seller signs first (Routing Order 1), Buyer signs second (Routing Order 2). The title company often gets a CC copy (no signature required) so they have the executed document automatically.

3 Place Fields on the Document

Switch to the document view and drag signature, initial, date, and name fields onto the correct pages and locations for each signer. Color-coding helps: DocuSign assigns a different color to each signer's fields so you can verify every field is assigned to the right person.

4 Set an Expiration and Reminder

Set the envelope to expire after a reasonable window (5–7 business days is standard) and turn on automatic reminders (e.g., daily reminder after 2 days). This eliminates the manual follow-up of chasing signatures.

5 Send and Track

Send the envelope. You can monitor real-time status from your DocuSign dashboard: Sent Delivered Completed (or Declined/Voided if a signer refuses or you need to recall it). You'll receive email notifications at each stage.

6 Download & Distribute the Completed Envelope

Once all signers have completed, download the fully executed document (with the Certificate of Completion appended). Send copies to escrow/title, the lender (if applicable), and save to the deal file.

THE MOST COMMON DOCUSIGN MISTAKES TCS MAKE

Wrong routing order — sending to the Buyer before the Seller, or skipping a required signer entirely.

Missing fields — a signer completes "their" pages but a field on a different page is assigned to the wrong person and gets skipped. Always do a final field audit before sending.

Wrong email address — double-check every email address before hitting send. A misdirected envelope that expires can delay a closing by days.

Forgetting to CC title/escrow — they need the executed document, and auto-CC eliminates the manual step of forwarding it after the fact.

Signing Order Reference — Common Stacked Method Documents

Document	Routing Order	CC Copy To
Purchase Agreement (PSA)	1. Seller 2. Buyer	Title Company, Lender (if applicable)
Seller Security Agreement (SSA)	1. Seller 2. Buyer	Closing Attorney (NOT title/lender)
Assignment Agreement	1. Assignor 2. Assignee	Title Company (NOT Seller)
Escrow Holdback Agreement	1. Seller 2. Buyer 3. Escrow Officer acknowledges	Title Company
Consultant JV Agreement	1. Company/Sponsor 2. Consultant	Deal file only — not title or lender
EMD Loan Agreement	1. Lender 2. Borrower	Escrow (so they know to repay Lender at closing)
		Same as underlying contract

Addendum / Amendment	Same as the underlying contract being amended	
Cancellation / Mutual Release	1. Seller 2. Buyer 3. Escrow acknowledges	Title Company

PRACTICE EXERCISE — SET UP A DOCUSIGN ENVELOPE

Using the PSA from Section 1 as your document, walk through the 6 steps above for this scenario:

Seller: Margaret Holloway — margaret@email.com | Buyer: Stacked Acquisitions LLC (signer: you, as TC) | Title CC: Heritage Title & Escrow — dana@heritagetitleok.com | Expiration: 5 business days | Reminder: Daily after Day 2

1. What documents go in the envelope?

2. List your recipients in routing order with their roles:

3. What fields will you place, and for which signer?

4. After Margaret signs but before Stacked Acquisitions LLC receives it, what status does the envelope show in your DocuSign dashboard?

Module 2 Wrap-Up

Eight documents, eight purposes, eight different audiences. Before moving on, fill in the blanks below from memory — this is where it locks in.

WRAP-UP: FILL IN THE BLANKS

1. The _____ is the only document that goes to absolutely everyone — including the lender — which is exactly why it can never contain _____ details.
2. The _____ is where the seller finance terms actually live, and it deliberately never reaches the _____ , _____ , or _____ .
3. In a standard wholesale assignment, the fee comes from the gap between two purchase prices. In the Morby Method, the underlying and assignment purchase prices are _____ , and the fee instead comes out of the _____ .
4. If you need to change the monthly payment on a deal, you would amend the _____ — NOT the Purchase Agreement.
5. To get an EMD returned to the right party, you must always have a signed _____ .
6. The only parties who don't need a JV Agreement to guarantee payment are the _____ and their _____ , because their payment is secured directly by the _____ .
7. In DocuSign, for a Purchase Agreement, the correct routing order is: _____ signs first, then _____ . The title company should always receive a _____ copy.

Module 2 Learning Objectives — Check Off As You Go



I can name all 8 documents a TC drafts and explain what each one is for

☐

I can explain why the Purchase Agreement and Seller Security Agreement must stay completely separate — and who does/doesn't see each one

☐

I can explain the Morby Method's assignment fee structure and how it differs from a standard wholesale assignment

☐

I understand what an escrow holdback is and how it funds the Morby assignment fee

☐

I can correctly identify which document to amend for any given change to a deal

☐

I know the non-negotiable rule for returning an EMD

☐

I can explain how JV Agreements work and who doesn't need one

☐

I can set up a DocuSign envelope with the correct recipients, routing order, and fields for any document in this module